

JAPAN BANKS

Raising earnings forecasts and target prices on the 3 megabanks to reflect capital markets activity and growing loan demand

We raise our earnings forecasts and 12m target prices for the three megabanks (MUFG, SMFG, and Mizuho), to reflect capital markets activity and growing loan demand. We currently expect that the expansion in loan demand (April-June loans were up +6.1% yoy total, of which major banks were +8.4% yoy; BOJ Loans and Deposits statistics released July 8), the impact of the December rate hike last year, and the rise in short-term interest rates into the June rate hike will positively contribute to net interest income. Additionally, we see robust capital markets-related revenue (accelerated corporate governance improvement efforts by Japanese companies, bond issuances, etc.) and the rise in market indicators such as TOPIX all suggest a smooth start to the fiscal year, while downside risks such as the Middle East situation remain. For FY3/27E for SMFG and Mizuho, we assume and reflect that net income will exceed initial guidance by the net interest income impact of the June rate hike (BOJ policy rate assumption 0.75%), and for MUFG, we reflect the upward revision of our US team's Morgan Stanley estimates (US analyst: Richard Ramsden) in equity-method investment income. Furthermore, we raised our net interest income forecasts for FY3/28 and FY3/29, when the full contribution of the previous fiscal year's bond rebalancing and the June rate hike will be realized.

Due to this upward revision, our FY3/29E ROE forecasts for the megabanks rise from 10-12% to 12-13%, and FY3/28E P/B between 1.56-1.69X. We maintain our Buy ratings on MUFG, SMFG, and Mizuho. Our top pick remains Mizuho; its business focus on corporate lending and GCIB business dovetails with the current cyclical phase and market environment, and we believe the hurdle for an upward revision in 1H is relatively low compared to other banks, as the policy rate assumption for both FY3/27 guidance and FY3/29 medium-term financial targets is 0.75%.

Heading into the 1Q megabank earnings (late July to early August), the points of focus are: 1) the extent of upside versus each bank's initial guidance given tailwinds such as BOJ rate hikes, capital market activity, and growing loan demand, and on the other hand, the extent of downside risks. Wider spreads and loan growth would contribute to profit growth from net interest income, and the rise in TOPIX should also be positive for cancellation gains on equity investment trusts, fee income from capital markets business, and others. On the other hand, there is a possibility that unrealized gains on strategic shareholdings have not increased as much as the rise in TOPIX. In addition, downside risks include a prolonged Middle East situation and

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bond rebalancing due to rising long-term interest rates. 2) The impact of these factors on the CET1 ratio is also a key point to watch. Regarding MUFG's CET1 ratio recovery back to its target range, there is a possibility that the accumulation of retained earnings from core business profits is progressing given the backdrop of active capital markets, but this needs to be confirmed. 3) That said, we maintain our constructive view on the banking sector as a whole, with upside potential for P/B given the higher potential ROE over the medium to long term. From that perspective, any ongoing efforts by the banks to improve ROE will also be noteworthy.

MUFG (8306.T, Buy)

We raise our earnings forecasts and 12m target price for MUFG to reflect capital markets activity and the upward revision of US team's Morgan Stanley estimates (US analyst: Richard Ramsden). We raise our FY3/27E-FY3/29E net income forecasts by 12-15% and lift our target price by 15% to ¥3,900 (from ¥3,400). We maintain our Buy rating. With mid-10% handle ROE in sight over the medium to long term, we continue to see P/B upside potential on ROE far in excess of cost of capital.

One issue at FY3/26 results was the CET1 ratio (finalized basis, excluding AOCI: 9.2%) miss versus 9.5-10.5% target range, and we believe the company is in the process of accumulating several hundred billion yen in retained earnings against its ¥132 tn in risk assets. We think investment banking businesses such as ECM and DCM were likely solid given the subsequent active capital markets and rush of bond issuances, and interest income may also be increasing due to loan growth and bond rebalancing in 4Q of the previous fiscal year. Even if we assume that bond trading revenue has not accelerated due to uncertainty over the direction of US interest rates, there is a possibility that the accumulation of retained earnings is progressing. In adjusting our FY3/27E earnings forecasts for MUFG, we have incorporated a larger upward revision to net interest income than for the other megabanks, factoring in spread expansion (rising short-term interest rates, higher bond yields due to the rebalancing of yen bonds in the previous fiscal year, and US interest rates staying higher) and the possibility of cancellation gains on investment trusts. Driven by strength in the core business, we expect the bank can achieve the profit levels necessary to accumulate its CET1 ratio in 1H, carry out potential bond rebalancing in 2H (we assume a smaller amount than the previous fiscal year), and execute our estimated shareholder returns (assuming a 40% payout ratio and share buybacks of ¥200 bn in FY3/27E and ¥300 bn in FY3/28E).

Our 12-month target price of ¥3,900 is based on a target P/B of 1.69X (previously 1.52X) and our end-FY3/28E BPS estimate of ¥2,292 (previously ¥2,240). We derive our target P/B multiple from our FY3/29E normalized ROE estimate of 13.51% (previously 12.16%) and a cost of equity of 8.0% (unchanged). We maintain our Buy rating.

Exhibit 1: MUFG: Our new vs. old estimates (P/L)

(bn JPY)	FY3/26	FY3/27 CoE	FY3/27E				FY3/28E				FY3/29E			
	Actual		Old	New	change	% change	Old	New	change	% change	Old	New	change	% change
Net revenue	5,944.5		6,401.9	6,821.2	419.2	7%	6,852.5	7,392.3	539.8	8%	7,280.4	7,934.2	653.9	9%
Net interest income	3,006.3		3,231.0	3,654.6	423.6	13%	3,818.5	4,224.8	406.4	11%	4,123.5	4,642.8	519.3	13%
Net fees and commissions	2,226.8		2,401.1	2,426.4	25.3	1%	2,384.7	2,511.3	126.6	5%	2,461.6	2,588.9	127.3	5%
Net trading profit	329.5		371.4	371.4	0.0	0%	372.1	372.1	0.0	0%	405.2	405.2	0.0	0%
Net other business income	218.8		232.2	202.5	-29.7	-13%	108.0	114.8	6.8	6%	110.4	117.6	7.3	7%
o/w bond gains	-179.3		0.0	0.0	0.0	n/a	0.0	0.0	0.0	n/a	0.0	0.0	0.0	n/a
Trust fees	163.1		166.3	166.3	0.0	0%	169.2	169.2	0.0	0%	179.7	179.7	0.0	0%
Operating expenses	3,567.2		3,792.8	3,834.3	41.5	1%	3,879.8	3,973.1	93.3	2%	3,998.5	4,114.9	116.4	3%
NBP before general allowance	2,377.2		2,609.1	2,986.9	377.7	14%	2,972.7	3,419.2	446.5	15%	3,281.9	3,819.3	537.4	16%
Net credit cost	-355.9	-350.0	-347.6	-355.5	-7.8	n/a	-345.6	-363.2	-17.7	n/a	-301.0	-305.5	-4.5	n/a
Net gains on equity securities	486.0		509.3	492.6	-16.8	-3%	526.2	550.9	24.7	5%	526.2	550.8	24.6	5%
Equity method profits	845.5		810.0	881.4	71.4	9%	842.6	920.0	77.4	9%	819.7	866.8	47.1	6%
Other	57.2		-20.0	10.0	30.0	n/a	-20.0	10.0	30.0	n/a	-20.0	10.0	30.0	n/a
Ordinary Profit	3,410.2	3,950.0	3,560.8	4,015.4	454.6	13%	3,976.0	4,536.9	561.0	14%	4,306.9	4,941.5	634.6	15%
Net extraordinary gain/losses	-88.0		-20.0	-60.0	-40.0	n/a	-20.0	-50.0	-30.0	n/a	-20.0	-50.0	-30.0	n/a
Pre-tax profit	3,322.2		3,540.8	3,955.4	414.6	12%	3,956.0	4,486.9	531.0	13%	4,286.9	4,891.5	604.6	14%
Income taxes	761.6		878.2	978.2	99.9	11%	979.4	1,111.7	132.4	14%	1,071.7	1,222.9	151.2	14%
Minority share profits	133.3		152.3	154.2	1.9	1%	154.0	158.2	4.2	3%	160.0	161.6	1.6	1%
Net income	2,427.2	2,700.0	2,510.2	2,823.1	312.8	12%	2,822.6	3,217.0	394.4	14%	3,055.1	3,507.0	451.9	15%
EPS	¥213.2		¥224.2	¥250.8	¥26.6	12%	¥256.1	¥287.8	¥31.7	12%	¥281.8	¥316.6	¥34.8	12%
DPS	¥86.0	¥96.0	¥96.0	¥98.0	¥2.0	2%	¥96.0	¥108.0	¥12.0	13%	¥96.0	¥120.0	¥24.0	25%
BPS	¥1,973.3		¥2,089.6	¥2,120.0	¥30.4	1%	¥2,239.8	¥2,291.6	¥51.8	2%	¥2,418.7	¥2,484.8	¥66.1	3%
ROE (company KPI)	11.3%		11.0%	12.3%		1.2%pt	11.8%	13.0%		1.2%pt	12.1%	13.3%		1.2%pt

Source: Company data, Goldman Sachs Global Investment Research

SMFG (8316.T, Buy)

Reflecting capital markets activity and an expansion in loan demand, we raise our earnings estimates and 12m target price for SMFG. We raise our FY3/27E-FY3/29E net profit estimates by 4-12% and our target price by 14% to ¥7,300 from ¥6,400 previously. We maintain our Buy rating. With a 15% ROE/ROTE target in sight over the medium to long term, we believe ROE could further exceed the cost of equity, drive upside potential for P/B multiple.

The FY3/29 medium-term plan targets an 8% 3y CAGR in net business profits, driven primarily by domestic corporate, digital, and multi-franchise operations, but in our conversations with market participants suggest an unfavorable view of SMFG's India investment Yes Bank (not covered), which is potentially hindering the market from fully pricing in the medium-term plan. In our estimates as well, our FY3/29E net business profit forecast of ¥2.8 tn does not fully price in the midterm plan target of ¥2.94 tn. Furthermore, a July 10 [Bloomberg report](#) suggested the possibility of SMFG raising its stake in Yes Bank, which could be taken negatively by the market but conversely could become a catalyst for a re-rating of SMFG should investor sentiment or strategy on the business align. We expect strong progress in 1Q, as operations appear to be going well due to the booming capital markets, a rise in TOPIX, and the weak yen, in addition to the possibility that interest income is increasing due to loan portfolio growth (a shift from bridge loans to corporate loans) and policy rate hikes. For shareholder returns, we

forecast a dividend payout ratio of 40% and share buybacks of ¥360 bn in FY3/27E.

Our 12-month target price of ¥7,300 is based on a target P/B of 1.56X (previously 1.36X) and our end-FY3/28E BPS estimate of ¥4,661 (previously ¥4,689). We derive our target P/B multiple from our FY3/29E normalized ROE estimate of 12.48% (previously 10.90%) and a cost of equity of 8.0% (unchanged). For cost of equity, we use a risk-free rate of 0.0%, equity risk premium of 10.0%, and long-term growth of 0.0% (unchanged). We maintain our Buy rating.

Exhibit 2: SMFG: Our new vs. old estimates (P/L)

(bn JPY)	FY3/26	FY3/27	FY3/27E				FY3/28E				FY3/29E			
	Actual	CoE	Old	New	change	% change	Old	New	change	% change	Old	New	change	% change
Net revenue	4,844.7		4,889.0	4,998.5	109.6	2%	5,076.1	5,078.7	2.6	0%	5,195.7	5,392.9	197.2	4%
Net interest income	2,719.6		2,726.7	2,827.7	101.0	4%	3,046.4	3,018.1	-28.3	-1%	3,138.4	3,267.4	129.0	4%
Net fees and commissions	1,820.6		1,888.2	1,896.1	8.0	0%	1,754.5	1,781.6	27.1	2%	1,763.5	1,800.4	37.0	2%
Net trading profit	199.4		191.0	191.0	0.0	0%	191.0	191.0	0.0	0%	191.0	200.0	9.0	5%
Net other business income	93.3		73.0	73.7	0.7	1%	74.2	77.9	3.7	5%	93.0	114.5	21.4	23%
Trust fees	11.7		10.0	10.0	0.0	0%	10.0	10.0	0.0	0%	9.7	10.5	0.8	8%
Operating expenses	2,651.5		2,639.1	2,639.7	0.6	0%	2,702.4	2,674.7	-27.7	-1%	2,692.4	2,624.2	-68.2	-3%
Core NBP (mgmt accounting, w/eq. meth.)	2,330.9	2,400.0	2,339.9	2,448.8	109.0	5%	2,463.7	2,494.0	30.2	1%	2,598.2	2,868.6	270.4	10%
Net credit cost	-388.4	-340.0	-377.3	-379.7	-2.5	n/a	-418.1	-311.7	106.4	n/a	-417.0	-400.6	16.4	n/a
Net gains on equity securities	446.1		504.5	503.4	-1.1	0%	544.4	524.4	-20.1	-4%	544.4	569.5	25.1	5%
Equity method profits	137.7		90.0	90.0	0.0	0%	90.0	90.0	0.0	0%	95.0	100.0	5.0	5%
Other	-85.2		-66.0	-66.0	0.0	n/a	-66.0	-66.0	0.0	n/a	-66.0	-66.0	0.0	n/a
Ordinary Profit	2,303.4	2,390.0	2,401.1	2,506.5	105.4	4%	2,524.0	2,640.6	116.6	5%	2,659.6	2,971.5	311.9	12%
Net extraordinary gain/losses	-51.6		-8.0	-8.0	0.0	n/a	-8.0	-8.0	0.0	n/a	-8.0	-8.0	0.0	n/a
Pre-tax profit	2,251.7		2,393.1	2,498.5	105.4	4%	2,516.0	2,632.6	116.6	5%	2,651.6	2,963.5	311.9	12%
Income taxes	666.9		694.0	724.6	30.6	4%	729.7	763.5	33.8	5%	769.0	859.4	90.4	12%
Minority share profits	1.8		6.8	6.8	0.0	0%	6.8	6.8	0.0	0%	6.8	6.8	0.0	0%
Net income	1,583.0	1,700.0	1,692.3	1,767.1	74.8	4%	1,779.6	1,862.4	82.8	5%	1,875.9	2,097.3	221.4	12%
Buybacks	338.7		360.0	360.0	0.0	0%	360.0	320.0	-40.0	-11%	360.0	320.0	-40.0	-11%
EPS	¥412	¥448	¥448	¥466	¥18	4%	¥481	¥498	¥18	4%	¥517	¥570	¥53	10%
DPS	¥157	¥180	¥180	¥180	¥0	0%	¥180	¥200	¥20	11%	¥180	¥220	¥40	22%
BPS	¥4,137		¥4,397	¥4,391	¥6	0%	¥4,689	¥4,661	¥28	-1%	¥4,903	¥4,890	¥13	0%
ROE	10.4%		10.5%	10.9%		0.4%pt	10.6%	11.0%		0.4%pt	10.8%	11.9%		1.2%pt

Source: Company data, Goldman Sachs Global Investment Research

Mizuho (8411.T, Buy)

Reflecting buoyant capital markets and growing loan demand, we raise our earnings estimates and 12m target price for Mizuho. We raise our FY3/27E-FY3/29E net profit estimates by 3-11% and our target price by 12% to ¥9,100 from ¥8,140 previously. We maintain our Buy rating (on the APAC Conviction list). With the bank planning for an ROE of over 12% in FY3/29 even assuming a 0.75% policy rate, and aiming for an ROE on par with global peers over the medium to long term, we see the potential for ROE to significantly exceed the cost of equity, and believe there is upside room for P/B.

We maintain Mizuho as our top pick. With Mizuho's sound and stable (defensive) business portfolio, we expect profit growth driven by the improved competitive advantage of its large corporate and GCIB businesses, while its financial management remains relatively risk-restrained which we see favorably as an operation suited to the current cycle phase. In 1Q, we believe corporate-related capital market operations such as ECM and DCM are performing well due to large IPOs in the US and domestic and overseas bond issuances. Furthermore, interest income is also likely to increase due to the continued optimization of the loan portfolio, bond rebalancing in the previous fiscal year, and policy rate hikes, leading us to expect steady progress. Driven by the strong

performance in the core business, we expect the CET1 ratio to track within the mid-9% to mid-10% range and forecast shareholder returns (assuming a 40% payout ratio and ¥230 bn in share buybacks in FY3/27E).

Our 12-month target price of ¥9,100 is based on a target P/B of 1.66X (previously 1.50X; derived from our normalized FY3/29E ROE estimate of 13.28% (previously 11.96%) and a cost of equity of 8.0% (unchanged)) and our end-FY3/28E BPS estimate of ¥5,454 (previously ¥5,444). We maintain our Buy rating (on the APAC Conviction list).

Exhibit 3: Mizuho: Our new vs. old estimates (P/L)

	FY3/26	FY3/27	FY3/27E				FY3/28E				FY3/29E			
(bn JPY)	Actual	CoE	Old	New	change	% change	Old	New	change	% change	Old	New	change	% change
Net revenue	3,477.3		3,927.5	3,999.8	72.3	2%	4,448.8	4,640.3	191.6	4%	4,639.9	5,047.1	407.2	9%
Net interest income	1,377.1		1,630.1	1,717.1	87.0	5%	2,016.7	2,193.8	177.2	9%	2,285.1	2,483.8	198.7	9%
Net fees and commissions	1,080.4		1,132.7	1,136.4	3.7	0%	1,192.9	1,204.3	11.5	1%	1,219.8	1,283.0	63.2	5%
Net trading profit	894.9		890.0	890.0	0.0	0%	947.0	947.0	0.0	0%	860.0	960.0	100.0	12%
Net other business income	57.9		208.6	190.3	-18.3	-9%	226.2	229.2	2.9	1%	209.0	254.3	45.2	22%
Trust fees	67.0		66.0	66.0	0.0	0%	66.0	66.0	0.0	0%	66.0	66.0	0.0	0%
Operating expenses	2,103.5		2,314.5	2,353.1	38.6	2%	2,606.6	2,698.2	91.6	4%	2,595.9	2,799.8	203.9	8%
Net business profit + ETF (mgmt accounting)	1,422.8	1,630.0	1,661.9	1,695.6	33.7	2%	1,891.1	1,991.1	100.0	5%	2,093.0	2,296.3	203.3	10%
Net credit cost	-133.1	-110.0	-112.6	-110.2	2.4	n/a	-70.4	-72.3	-1.9	n/a	-73.7	-75.8	-2.1	n/a
Net gains on equity securities	325.2	360.0	314.5	327.3	12.8	4%	163.8	184.8	21.0	13%	127.3	148.3	21.0	17%
Equity method profits	52.3		38.0	38.0	0.0	0%	38.0	38.0	0.0	0%	38.0	38.0	0.0	0%
Other	-45.1		-43.0	-43.0	0.0	n/a	-43.0	-43.0	0.0	n/a	-43.0	-43.0	0.0	n/a
Ordinary profit	1,573.2	1,860.0	1,809.8	1,858.8	48.9	3%	1,930.6	2,049.7	119.1	6%	2,092.6	2,314.8	222.2	11%
Net extraordinary gain/losses	49.1		0.0	0.0	0.0	n/a	0.0	0.0	0.0	n/a	0.0	0.0	0.0	n/a
Pre-tax profit	1,622.3		1,809.8	1,858.8	48.9	3%	1,930.6	2,049.7	119.1	6%	2,092.6	2,314.8	222.2	11%
Income taxes	368.1		477.8	490.5	12.7	3%	507.5	538.5	31.1	6%	544.1	601.9	57.8	11%
Minority share profits	5.5		4.7	4.7	0.0	0%	4.7	4.7	0.0	0%	4.7	4.7	0.0	0%
Net income	1,248.6	1,300.0	1,327.4	1,363.6	36.2	3%	1,418.4	1,506.5	88.1	6%	1,543.9	1,708.3	164.4	11%
EPS	¥502.9	¥533.1	¥549.6	¥562.6	¥13.0	2%	¥598.5	¥629.3	¥30.9	5%	¥668.8	¥722.6	¥53.8	8%
DPS	¥145.0	¥150.0	¥150.0	¥150.0	¥0.0	0%	¥155.0	¥157.0	¥2.0	1%	¥160.0	¥190.0	¥30.0	19%
BPS	¥4,640.2		¥5,030.6	¥5,017.9	(¥12.6)	0%	¥5,444.1	¥5,453.5	¥9.5	0%	¥6,023.6	¥5,791.5	(¥232.1)	-4%
ROE (excluding gains from denominator)	12.8%		12.8%	13.1%	0.3%pt		12.8%	13.4%	0.6%pt		13.0%	14.0%		1.1%pt

Source: Company data, Goldman Sachs Global Investment Research

Investment Thesis - MUFG

MUFG is Japan's largest megabank and provides a wide range of financial services in Japan and overseas. We see potential tailwinds in steady growth in domestic/overseas corporate lending at present, and in Asia's economic reopening and possibly a recovery in the capital and bond markets going forward. The company has accelerated group-wide initiatives aimed at improving capital efficiency. MUFG is also targeting ROE of mid-10% over the longer term. We are Buy rated.

Price Target Risks and Methodology - MUFG

Target price methodology: We are Buy rated on MUFG. Our 12-month target price of ¥3,900 is based on a target P/B of 1.69X and our end-FY3/28E BVPS estimate of ¥2,292. We derive our target P/B multiple from our normalized ROE estimate of 13.51% and a cost of equity of 8.0%.

Key downside risks: (1) Deterioration in the global economic outlook; (2) credit cycle worsening; and (3) capital markets remaining weak.

Investment Thesis - SMFG

One of Japan's megabanks with traditional banking and securities operations, SMFG also operates a variety of financial services including credit card (Sumitomo Mitsui Card), consumer finance (SMBCCF), and aircraft leasing, and yields and ROA in these businesses have been high historically relative to other megabanks. Our investment focus is on: (1) the possibility of further profit increases due to additional interest rate hikes by the BOJ, (2) movements related to corporate governance such as accelerating the sale of cross-shareholdings, and (3) strong profit momentum by expansion of profits from domestic and overseas capital market and inorganic growth in Asia. In addition, sensitivity to changes in BOJ monetary policy is as high as at other megabanks, and we are Buy rated.

Price Target Risks and Methodology - SMFG

Target price methodology: Our 12-month target price of ¥7,300 is based on a target P/B of 1.56X and our end-FY3/28E BVPS estimate of ¥4,661. We derive our target P/B multiple from our FY3/29E normalized ROE estimate of 12.48% and a cost of equity of 8.0%.

Key downside risks: (1) Long-term interest rates declining due to outlook for a global economic slowdown, (2) Higher input/procurement costs owing to inflationary pressure, (3) A prolonged slump in capital markets.

Investment Thesis - Mizuho FG

Mizuho has been working to improve value by transforming the corporate culture and promoting digital transformation (DX) in conjunction with the shift to stable system operations since February 2022. We are Buy rated, as the bank is improving its earnings on the back of steady growth in lending to domestic and overseas corporations. Our investment focus is on: (1) signs of profit growth on the allocation of management resources to priority areas, including domestic and overseas corporate business, and steady growth in the core business; (2) the improvement of capital efficiency and ROE through the shifting of resources from low-margin assets to high-margin assets; and (3) the possible strengthening of growth investments and shareholder returns while

maintaining a CET1 ratio in the 9.5-10.5% range.

Price Target Risks and Methodology - Mizuho FG

Target price methodology: Our 12-month target price of ¥9,100 is based on a target P/B of 1.66X and our end-FY3/28E BVPS estimate of ¥5,454. We derive our target P/B multiple from our normalized FY3/29E ROE estimate of 13.28% and a cost of equity of 8.0%. We use a risk-free rate of 0.0%, an equity risk premium of 10.0%, and a long-term growth rate of 0.0% to calculate our cost of equity.

Key downside risks: (1) Long-term interest rates declining amid global economic slowdown outlook; (2) credit cycle worsening due to prolonged geopolitical risk; and (3) larger-than-expected cost increases under the stable system and business management, etc.

Disclosure Appendix

Reg AC

We, Makoto Kuroda and Hibiki Takuma, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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Contributing Authors: Makoto Kuroda Goldman Sachs Japan Co., Ltd., Hibiki Takuma Goldman Sachs Japan Co., Ltd..

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Growth is based on a stock's forward-looking sales growth, EBITDA growth and EPS growth (for financial stocks, only EPS and sales growth), with a higher percentile indicating a higher growth company. **Financial Returns** is based on a stock's forward-looking ROE, ROCE and CROCI (for financial stocks, only ROE), with a higher percentile indicating a company with higher financial returns. **Multiple** is based on a stock's forward-looking P/E, P/B, price/dividend (P/D), EV/EBITDA, EV/FCF and EV/Debt Adjusted Cash Flow (DAFCF) (for financial stocks, only P/E, P/B and P/D), with a higher percentile indicating a stock trading at a higher multiple. The **Integrated** percentile is calculated as the average of the Growth percentile, Financial Returns percentile and (100% - Multiple percentile).

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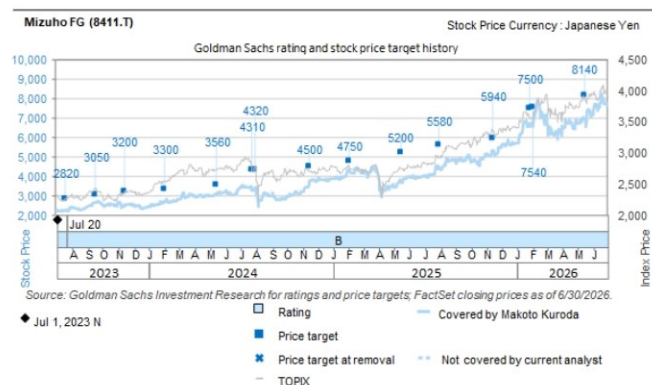
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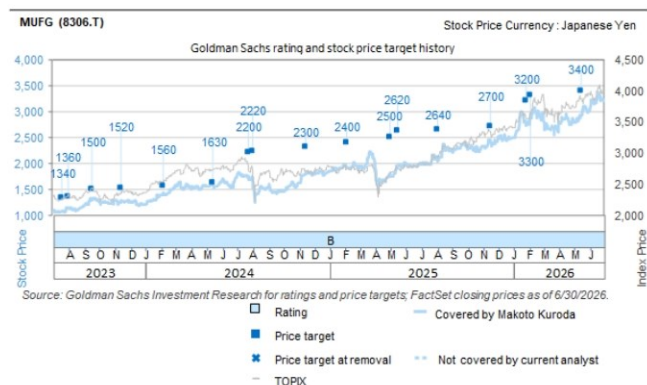
	Rating Distribution				Investment Banking Relationships		
	Buy	Hold	Sell		Buy	Hold	Sell
Global	50%	34%	16%		65%	59%	43%

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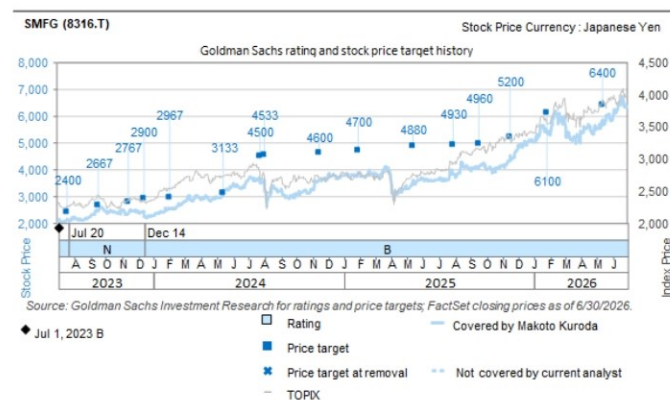
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Target price history table(s)

MUFG (8306.T)

Date of report	Target price (¥)	Closing price (¥)
15-May-26	3,400	2,929
04-Feb-26	3,300	2,950
26-Jan-26	3,200	2,730
16-Nov-25	2,700	2,451
04-Aug-25	2,640	2,047
15-May-25	2,620	1,930
30-Apr-25	2,500	1,804

Mizuho FG (8411.T)

Date of report	Target price (¥)	Closing price (¥)
15-May-26	8,140	6,912
02-Feb-26	7,540	6,560
26-Jan-26	7,500	6,523
14-Nov-25	5,940	5,300
31-Jul-25	5,580	4,482
15-May-25	5,200	3,764
03-Feb-25	4,750	4,261

MUFG (8306.T)

Date of report	Target price (¥)	Closing price (¥)
04-Feb-25	2,400	1,942
14-Nov-24	2,300	1,798
01-Aug-24	2,220	1,726
24-Jul-24	2,200	1,743
15-May-24	1,630	1,591
05-Feb-24	1,560	1,437
14-Nov-23	1,520	1,284
18-Sep-23	1,500	1,292
01-Aug-23	1,360	1,133
20-Jul-23	1,340	1,071

Mizuho FG (8411.T)

Date of report	Target price (¥)	Closing price (¥)
14-Nov-24	4,500	3,531
31-Jul-24	4,320	3,448
24-Jul-24	4,310	3,404
15-May-24	3,560	3,099
02-Feb-24	3,300	2,687
13-Nov-23	3,200	2,479
18-Sep-23	3,050	2,640
20-Jul-23	2,820	2,246

SMFG (8316.T)

Date of report	Target price (¥)	Closing price (¥)
13-May-26	6,400	5,852
26-Jan-26	6,100	5,387
16-Nov-25	5,200	4,330
17-Sep-25	4,960	4,051
31-Jul-25	4,930	3,855
14-May-25	4,880	3,632
29-Jan-25	4,700	3,899
14-Nov-24	4,600	3,614
02-Aug-24	13,600	3,221
24-Jul-24	13,500	3,635
15-May-24	9,400	3,068
01-Feb-24	8,900	2,546
14-Dec-23	8,700	2,328
14-Nov-23	8,300	2,385
18-Sep-23	8,000	2,465
20-Jul-23	7,200	2,148

Price targets shown in table(s) are unadjusted for corporate actions.

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